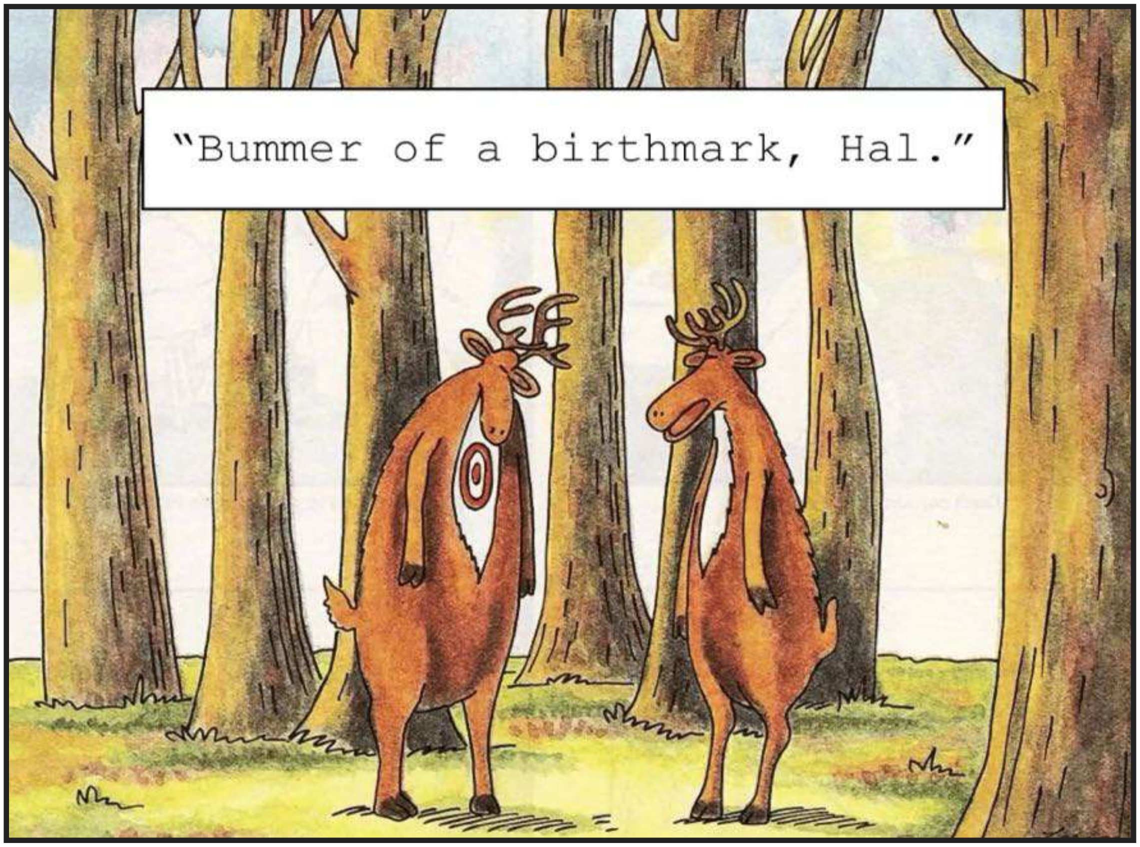
Armstrong
Financial Services



Is My IFA Life Insurance Plan a Tax Shelter?

Application of subsection 237.1(1), section 143.2, and Regulation 3100 to IFA structures.

This memorandum provides a comprehensive framework for analyzing whether an Immediate Financing Arrangement (IFA) qualifies as a tax shelter under the Income Tax Act (ITA). It systematically examines the statutory definition of a tax shelter, the identification of the relevant property, the connection between the loan and that property, and the classification of the financing as a limited-recourse amount. Furthermore, it outlines the resulting prescribed-benefit calculation, details the consequences of operating an unregistered tax shelter, and addresses common objections from lenders and promoters. Ultimately, the objective of this document is not to pass judgment on any specific IFA, but rather to equip readers with the objective statutory questions required to make that determination themselves.

Contents

Background: The IFA Structure and Why Deductibility Matters

In a standard IFA structure, a client purchases a permanent life insurance policy and pays the premium out of pocket. Immediately afterward, a bank lends the client an amount equal to that premium, secured in part by the policy's cash value. The loan proceeds are then invested. Because the loan matches the premium dollar-for-dollar, the net cash outlay in the year of the transaction is $0. The debt is generally intended to remain outstanding for life and to be repaid from the tax-free proceeds of the policy on death, so the illustration typically shows the projected loan subtracted from the death benefit to arrive at a "net death benefit" figure.

While an IFA renders the client cash-neutral in the year of the transaction — the loan proceeds equal, dollar-for-dollar, the premium just paid — it does not make the life insurance free. Instead, it replaces a known, finite premium obligation with a lifelong debt that must be serviced annually.

The cost of carrying that debt is the annual interest charge, which is maintained for the life of the insured. The arrangement's economics depend heavily on whether this interest charge can be rendered tax-deductible under the Income Tax Act. If the loan were used directly to pay for the insurance premium, that deduction would not be a possibility, as paragraph 20(1)(c) explicitly excludes interest on money borrowed to acquire a life insurance policy.

Without a tax deduction, this lifelong interest burden is highly problematic. If the interest is capitalized and re-collateralized annually, the compounding debt could eventually outrun the policy's cash value, leaving the client with little or no insurance net of the debt. Alternatively, if the interest is paid out-of-pocket annually, the client is exposed to interest rate variability; over a lifetime, this cumulative after-tax cost could easily exceed what it would have cost to purchase the target net death benefit outright using standard, unfinanced insurance products.

To render the interest deductible and thus the plan financially viable, the IFA's novel representation relies on specific sequencing and the deliberate, represented use of funds. By paying the premium out of pocket first, and then representing that the borrowed funds are used strictly to acquire an income-producing investment (and are not related to the payment of the insurance premium), the resulting tax deductions are represented as achieved, and the illustrated tax savings are integrated directly into the arrangement's stated financial quantum. This sequencing dictates the financial outcome of the overall plan—and the illustration presents the policy, the loan, the investment, and the tax-deductible interest together as a single, cohesive strategy. Yet, that very design choice—matching a loan exactly to a premium amount but not the premium itself, and representing that the full amount of the loan was invested to produce a deduction—is precisely what brings the arrangement within the ITA's tax-shelter definition, as set out below.

The Statutory Definition of a Tax Shelter

Subsection 237.1(1) of the Income Tax Act defines a tax shelter, in relevant part, as an investment in property where it is reasonable to consider, having regard to statements or representations made or proposed to be made in connection with the property, that a purchaser could reasonably be expected to have deductions, losses, or credits within the first four years equal to or exceeding the purchaser's net cost of the property. Net cost is determined after subtracting any "prescribed benefits" expected to be received in respect of the property, directly or indirectly.

The CRA's own public guidance ("What is a tax shelter?") summarizes the test as follows:

"...a tax shelter is:... an investment in property... where it is reasonable to consider, based on statements or representations made or proposed to be made in connection with... the property, that within the first four years of buying an investment in the property... the buyer... will have losses, deductions, or credits equal to or greater than the net cost of the original investment or of the property acquired... 'Net cost' is net of any prescribed benefits expected to be received or enjoyed, directly or indirectly, by the person..."

This produces three variables that must be established before the test can be applied:

Variable	Question	Statutory Basis
A	What is the cost of the property acquired?	ITA s. 237.1(1)(b)(ii)(A) — cost determined without reference to s. 143.2
B	What prescribed benefit — including any limited-recourse financing — is expected in respect of that property?	ITA s. 237.1(1)(b)(ii)(B); ITR Reg. 3100; ITA ss. 143.2(7) and 143.2(12)
C	What deductions, losses, or credits are represented in the first four years?	ITA s. 237.1(1)(b)(i)

The statutory test under subsection 237.1(1) resolves to a simple equation:

If C ⩾ (A − B), the arrangement crosses the tax-shelter threshold and registration is required.

Counterintuitively, this test is triggered by <u>representations made or proposed to be made</u> — through sales meetings, promotional materials, or financial illustrations — rather than by the arrangement's actual commercial outcome. The phrase "proposed to be made" is significant: the tax-shelter analysis can be engaged before the representations are actually made to a purchaser, based on what is intended to be represented. Subsection 237.1(4) requires a Tax Shelter ID Number before the arrangement may be sold or issued, regardless of whether the represented deductions are ultimately sustained on audit.

In an IFA, where the loan matches the premium dollar-for-dollar to create a cash-neutral arrangement while simultaneously representing full interest deductibility, the design directly sets up a potential $0 net cost. In that context, this statutory calculation is not peripheral; overlooking it exposes the arrangement and its participants to severe penalties, regardless of intent.

The sections that follow walk through this three-part statutory cascade as applied to a standard IFA: first 1) identifying the **relevant property (A)**, then 2) establishing whether the loan constitutes a **prescribed benefit in respect of that property (B)**, and finally 3) applying the arithmetic to the **represented deductions (C)**.

1. Identifying the Relevant Property (A)

The relevant property analyzed here is not the life insurance policy. Instead, Variable A is the independently identifiable *investment property* acquired with the borrowed funds—the very *investment* assumed in the illustration to qualify for a paragraph 20(1)(c) interest deduction.

This follows directly from the structure of paragraph 20(1)(c). Under the Act, interest is deductible only where it is paid on "*borrowed money used for the purpose of earning income from a business or property,*" while interest on money borrowed "*to acquire a life insurance policy*" is expressly excluded. Consequently, if an IFA illustration represents any interest as deductible, that representation is possible only on the basis that the borrowed funds are used to acquire a qualifying, income-producing investment. The illustration's own "deductible interest" line is, in effect, an admission that a qualifying investment property exists to which the loan was applied.

Where the illustration represents the *entire* interest charge on the loan as deductible on the basis that the *entire* loan was used to acquire the investment, that representation identifies the full amount of the loan as financing for that investment. This conclusion is corroborated by CRA's Tax Shelter Form T5001, which requires disclosure of the "represented deductions" and pre-populates "interest expense" as a deduction category, reflecting the same analytical structure used here.

2. Establishing the Prescribed Benefit (B)

Once the relevant investment property has been identified (Variable A), the next step in the statutory formula is determining whether a "prescribed benefit" (Variable B) exists in relation to that property. Under Regulation 3100(3), treating the bank loan as a prescribed benefit requires establishing two distinct criteria:

1. **In Respect Of**: The financing must be connected to, or made "in respect of", the property.
2. **The Limited-Recourse Amount**: The loan itself must legally qualify as a limited-recourse amount under section 143.2 of the Income Tax Act.

Only when both of these criteria are satisfied does the financing become a prescribed benefit that reduces the net cost of the property in the statutory calculation.

2.1 The "In Respect Of" Connection

It must be shown that the loan is "in respect of" the property, since Regulation 3100 defines a prescribed benefit by reference to amounts reasonably expected in respect of an interest in property. The phrase "in respect of" has been given the widest possible scope by the Supreme Court of Canada in *Nowegijick v. The Queen*, [1983] 1 S.C.R. 29:

> *"The words 'in respect of' are, in my opinion, words of the widest possible scope. They import such meanings as 'in relation to', 'with reference to' or 'in connection with'. The phrase 'in respect of' is probably the widest of any expression intended to convey some connection between two related subject matters"*

Here, the connection is direct rather than incidental: the loan is represented as the source of the deductible interest, deductible only because the loaned funds were used to acquire the investment. The promoter cannot obtain the paragraph 20(1)(c) deduction without representing that qualifying use of the borrowed funds — the same borrowing tested for limited-recourse status under section 143.2. The represented deduction is thus tied to the loan, and the loan to the investment, satisfying the Nowegijick standard. This tracing is a feature of paragraph 20(1)(c), not unique to an IFA — it is the loan's limited-recourse character under subsection 143.2(7), addressed in Section 2.2, that does the distinguishing work.

2.2 Is the Loan a Limited-Recourse Amount?

The second element is whether the loan is a "limited-recourse amount." Industry practitioners often point to outside collateral, personal guarantees, and the lender's ability to demand repayment as evidence that the debt is "fully recourse." These features are relevant to a bank's commercial credit assessment, but they do not answer the statutory question. Subsection 143.2(7) is a deeming provision that overrides ordinary commercial characterization:

> *"…the unpaid principal amount of the indebtedness shall be deemed to be a limited-recourse amount… unless bona fide arrangements were made in writing, at the time the indebtedness arose, for repayment of all principal and interest… within a reasonable period not exceeding 10 years."*

The central issue for a standard IFA is the principal-repayment condition: a bona fide written arrangement, made at inception, to repay all principal within 10 years. IFA loans are typically structured as interest-only, annually renewable demand loans intended to remain outstanding until death. While s. 143.2(7) also requires interest to be paid annually within 60 days of the tax year-end, satisfying that separate rule does not bypass the 10-year principal requirement.

Promoters are likely to argue that an annually renewable demand loan is by its own terms shorter than 10 years. Subsection 143.2(12) anticipates this argument: where a repayment arrangement can reasonably be considered part of a "series of loans or other indebtedness and repayments" extending more than 10 years, the debtor is treated as *not* having made arrangements to repay within 10 years.

2.3 Completing the Prescribed-Benefit Analysis

Once a loan is established to be both (2.1) in respect of the relevant property, and (2.2) a limited-recourse amount, Regulation 3100(3) applies with statutory automaticity. It provides that a **limited-recourse amount in respect of a property**, determined under subsection 143.2(1), (7), or (13), is a **prescribed benefit in respect of that property**.

With the property identified (A) and the loan established as a prescribed benefit in respect of that property (B), both inputs required for the tax-shelter calculation are in place.

3. Identifying the Represented Deductions (C)

The final element of the three-part quantum is determining whether deductions, losses, or credits have been represented in the first four years of the plan (Variable C). In the context of a standard IFA illustration, the presence of these represented deductions—specifically, the paragraph 20(1)(c) interest deduction—is an obvious point that requires no further complex analysis, as it is explicitly printed on the illustration itself.

However, as will be shown in the calculation shortly, the actual quantum of these represented deductions need only be greater than zero. In other words, there simply must be at least some representation of a deduction. As we will see, the specific dollar amount of that deduction becomes legally irrelevant in the mathematical context of a fully financed IFA.

The Tax-Shelter Calculation

With variables A, B, and C established, the final step in determining unregistered tax-shelter status is arithmetic rather than interpretation. The statutory test in subsection 237.1(1) requires registration if the represented deductions (C) equal or exceed the cost of the property (A) minus the prescribed benefits (B). The formula is:

If $C \geqslant (A - B) \rightarrow$ Tax Shelter

Because the IFA illustration represents that the full amount of the investment was acquired with the borrowed funds — meaning the borrowed amount and the invested amount are the exact same figure — the cost of the property (A) and the prescribed benefit against it (B) are identical. Therefore:

$(A - B) = \$0$

This is not the product of any double-counting or aggressive interpretation. Section 237.1 determines the cost of the property without reference to section 143.2; the limited-recourse characterization enters the calculation separately, through the prescribed-benefit deduction under paragraph 237.1(1)(b)(ii)(B). The $0 net cost figure results directly from the statute itself.

Once the net cost is $0, the only remaining question is whether the represented deductions in the first four years (C) exceed $0. Because **C > $0** is satisfied the moment C is any amount greater than zero, the size of the represented deduction is legally irrelevant to the outcome of the test: a represented deduction of even $1 satisfies the threshold completely.

This is the precise mechanism by which a fully leveraged IFA, represented and structured in the manner described above, mechanically satisfies the statutory tax-shelter definition without requiring any additional facts or abusive intent.

Consequences of Unregistered Tax-Shelter Status

Where an arrangement meets the statutory definition of a tax shelter, the promoter is required, before selling, issuing, or accepting consideration in respect of the arrangement, to obtain a Tax Shelter Identification Number from the CRA and to file the required prescribed information, including a list of subscribers. Obtaining an identification number does not signify CRA approval of the arrangement or of any represented deduction; it is a disclosure mechanism, and registration typically results in increased audit scrutiny of the arrangement.

If an arrangement meeting the tax-shelter definition is sold without registration, or if the required filings are not made, the following consequences may apply:

- **Denial of deductions.** Under subsection 237.1(6), no amount may be deducted or claimed in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number has been filed.
- **Reduction of cost basis.** Section 143.2 contains rules that can reduce the capital cost or other expenditure amount of a tax-shelter investment by the amount of any specified limited-recourse debt associated with it.
- **Promoter and third-party penalties.** Under subsection 237.1(7.4), selling or accepting consideration in respect of an unregistered tax shelter can result in a penalty equal to the greater of $500 and 25% of the applicable statutory consideration amount. Separately, section 163.2 provides for third-party civil penalties where a person makes or participates in a false statement in connection with a taxpayer's affairs.

Conclusion

A mechanical tax-shelter analysis of an IFA does not require any speculative recharacterization of the arrangement or resort to the General Anti-Avoidance Rule (GAAR). Following the promoter's own representations and the taxpayer's own tracing of borrowed funds for paragraph 20(1)(c) purposes is sufficient to raise the statutory questions addressed above: what property was acquired, whether the loan financing that property is a limited-recourse amount, whether that amount is a prescribed benefit in respect of the property, and whether the represented deductions in the first four years equal or exceed the resulting net cost.

Where those facts converge — a loan matched dollar-for-dollar to the premium, represented as fully invested, generating a represented deduction, and lacking a bona fide 10-year repayment arrangement — the arrangement would satisfy the numerical test in subsection 237.1(1), and the registration requirements of subsection 237.1(4) would apply before the arrangement may lawfully be sold. Any professional reviewing a specific IFA arrangement should be able to identify the precise point in this statutory chain at which the facts of that particular arrangement diverge from this analysis. Where they do not diverge, the statutory consequences apply regardless of the intentions of the parties involved.

David Kakon, B.Sc. (Math Hons.)
Financial security advisor
David@ArmstrongLife.com

A Diagnostic Test for Advisors

An advisor or promoter who disagrees with the application of this analysis to a particular arrangement does not need to accept or refute the analysis in the abstract. The following questions can be applied directly to the specific illustration and loan documentation at issue:

1. What property does the illustration represent as being acquired with the borrowed funds? If the answer is a qualifying income-producing investment intended to satisfy paragraph 20(1)(c), the relevant property has been identified.
2. Why is the interest on the loan represented as deductible? If the answer depends on the borrowed funds having been used to acquire that income-producing investment, the loan-to-property relationship has been expressly represented.
3. Was there a bona fide, written arrangement, made at the time the debt arose, requiring repayment of all principal and interest within 10 years? If yes, that arrangement should be identified and reviewed. If no, subsection 143.2(7) must be addressed.
4. **If the loan is a limited-recourse amount, on what basis is it not a prescribed benefit in respect of the investment identified in Question 1, given Regulation 3100(3)?**
5. If the loan is a prescribed benefit in respect of the investment, what is the resulting statutory net cost under the formula in Section 2?
6. If the represented deductions in the first four years are greater than $0, and the net cost calculated in Question 5 is $0, how does the arrangement avoid satisfying the numerical test in subsection 237.1(1)?

Anticipating the Objections

"This would make every investment loan a tax shelter." It would not. An ordinary investment loan typically involves an independently selected investment, borrowing sized to the investor's own financing needs, a bona fide repayment arrangement, no exact matching of the loan to an unrelated cost such as an insurance premium, and no representation that the arrangement produces a $0 net cost. Those facts do not produce the same result. The argument advanced in this memorandum is narrower and fact-specific: it applies where the financing exactly matches the premium, the proceeds are represented as invested, the resulting interest is represented as fully deductible, and the principal is intended to remain outstanding beyond 10 years. That is a specific fact pattern, not a description of investment borrowing generally.

"The bank treats the loan as fully recourse." This observation, while accurate as a description of the bank's commercial position, does not answer the statutory question. A personal guarantee, additional collateral, a right of set-off, or the lender's ability to demand repayment may all be relevant to a bank's internal credit risk assessment. None of them, individually or collectively, constitutes a bona fide written arrangement made at the time the debt arose to repay the principal within 10 years, which is the specific condition that subsection 143.2(7) requires in order to avoid limited-recourse characterization. The commercial and statutory characterizations of the same loan can diverge, and it is the statutory characterization that governs the tax-shelter test.

Scope and Limits of This Analysis

This analysis does not establish that every IFA is a tax shelter. It does not establish that every investment loan secured in whole or in part by a life insurance policy is a tax shelter. It does not establish that every deduction represented in an insurance illustration is valid or sustainable on audit. It does not eliminate the need to examine the actual loan agreement, the actual investment made, the tracing of borrowed funds, the specific representations made to the purchaser, and the specific repayment arrangements in place, in every individual case.

What the analysis does establish is narrower: a fully leveraged IFA, in which the borrowed funds are matched dollar-for-dollar to the premium and represented as fully invested, in which the resulting interest is represented as deductible, and in which the debt lacks a bona fide written arrangement to repay principal within 10 years, can produce a statutory net cost of $0 under subsection 237.1(1). Where that is the case, any represented deduction greater than $0 in the first four years satisfies the numerical threshold of the tax-shelter definition, triggering the registration requirement under subsection 237.1(4) irrespective of the parties' intentions. This is a statutory calculation, not an argument from intention, and not an invocation of the General Anti-Avoidance Rule.

Appendix A: The Statutory Chain

- **ITA s. 143.2(7):** Deems the unpaid principal of an indebtedness to be a limited-recourse amount unless there is a bona fide written arrangement, made at the time the debt arose, to repay principal and interest within a reasonable period not exceeding 10 years, together with compliant interest-payment terms.
- **ITA s. 143.2(12):** Extends the analysis to a series of loans or other indebtedness and repayments that, considered together, extends beyond 10 years from when the series begins.
- **ITR Regulation 3100(3):** Defines a prescribed benefit, for tax-shelter purposes, to include an amount that is a limited-recourse amount under s. 143.2(1), (7), or (13), subject to specified exclusions.
- **ITA s. 237.1(1):** Defines a tax shelter by comparing represented deductions, losses, or credits in the first four years against the net cost of the property, being its cost less any prescribed benefits.
- **ITA s. 237.1(4):** Requires a Tax Shelter Identification Number to be obtained before a tax shelter is sold, issued, or funded.
- **ITA s. 237.1(6):** Prohibits deductions or claims in respect of a tax shelter unless the prescribed form containing the tax-shelter identification number has been filed.
- **ITA s. 143.2(6):** Contains rules that can reduce the capital cost or expenditure amount of a tax-shelter investment by specified limited-recourse amounts.
- **ITA s. 237.1(7.4) and s. 163.2:** Provide for promoter penalties in respect of unregistered tax shelters and third-party civil penalties for false statements made under a culpable-conduct standard, respectively.

Appendix B: Case Law and CRA Ruling Resources

- **CRA Technical Interpretation 2006-0196251C6** and **CRA Advance Income Tax Ruling 2009-0340381R3 (2010):** CRA positions discussing demand loans and limited-recourse characterization under s 143.2 in the context of a leveraged insurance/annuity arrangement.
- ***Nowegijick v. The Queen*, [1983] 1 S.C.R. 29:** Supreme Court of Canada authority establishing that the phrase "in respect of" is to be given the widest possible scope in tax legislation, requiring only a nexus or "thought connection" between two subject matters.
- ***Hexalog Ltée c. La Reine*, 2005 TCC 67:** Tax Court authority for the proposition that, where an asset, a financing facility, and a reinvestment strategy are marketed and implemented as a single integrated package, they may be treated as one composite property for purposes of subsection 237.1(1).
- ***Krumm v. Canada*, 2021 FCA 78:** Confirms that the tax-shelter test is an objective statutory inquiry, applied by reference to the representations made and the statutory cost calculation, rather than a subjective inquiry into intent.

- ***Canada v. Baxter*, 2007 FCA 172** and ***Jevremovic v. Canada*, 2007 FCA 125:** Federal Court of Appeal decisions upholding the statutory reporting consequences that flow from unregistered tax shelters.
- **CRA Circular IC01-1R2, "Third-Party Civil Penalties":** CRA's administrative guidance on the application of section 163.2 to advisors who promote aggressive tax structures.
- **CALU Practice Note, "Best practices for insured leveraging programs – Part II" (May 30, 2023):** Industry guidance to insurance advisors on interest deductibility, the collateral insurance deduction, the tax-shelter rules, and the General Anti-Avoidance Rule as applied to early and immediate financing arrangements.

Appendix C: Characteristics of Typical IFA Bank Loans

Based on standard industry loan documentation, IFA bank facilities commonly exhibit the following features, each of which is relevant to the statutory analysis above:

- **Demand-loan structure with no fixed maturity.** The facility is typically an interest-only demand loan, with no contractual requirement to pay principal within a 10-year period.
- **Death as a triggering repayment event.** The death of the insured is generally treated as the point at which the outstanding balance is to be repaid, consistent with an intended term spanning the life of the insured rather than a fixed period.
- **Direct linkage to the reinvested funds.** Loan advances are frequently conditioned on evidence that the proceeds will be reinvested at a value at least equal to the loan amount, tying the financing directly to the investment rather than as two independent transactions.
- **Controlled tracing.** Loan terms commonly prohibit using the facility, or the policy's accumulated cash value, to pay the insurance premium directly — a restriction that has the effect of enforcing the two-step "pay premium, then borrow and invest" sequence required to support a paragraph 20(1)(c) deduction.
- **Facility limits tied to premiums and cash value.** Annual advances and overall facility limits are frequently sized to cumulative premiums paid and the policy's cash surrender value, rather than structured as a general-purpose credit facility.
- **Product branding as an integrated strategy.** These facilities are frequently marketed and documented as a named, integrated product tied to the specific life insurance policy, reinforcing the characterization of the arrangement as a single package rather than two unrelated transactions.
- **Lender disclaimer regarding tax treatment.** Loan agreements typically include a disclaimer that the lender makes no representation regarding the tax consequences of the arrangement, which has the effect of isolating the insurance promoter as the party responsible for the paragraph 20(1)(c) representations that give rise to the statutory tax-shelter analysis.

Any review of a specific IFA arrangement should be conducted against the complete documentation for that arrangement: the actual loan agreement, policy illustration, financing conditions, and marketing materials, rather than by reference to these general characteristics.

Industry and Regulatory Context

This analysis is not an isolated legal theory; the statutory tension it highlights is now being formally acknowledged by major Canadian life insurance carriers. In its April 2026 published guidance on leveraged life insurance, Manulife explicitly warned advisors that the tax shelter rules are a live consideration when leveraging occurs within the first four years. Crucially, Manulife's guidance validates the precise property characterization debate detailed in this memorandum, stating:

> *"The tax shelter rules may be a consideration in the leveraged insurance context where there is a leveraging within the first 4 years of the arrangement ... It may be the case that any deductions for interest or collateral insurance may exceed that "cost", and therefore may trigger the tax shelter rules. There is also a requirement for the promoter to make statements or representations about the tax benefits of the arrangement. This requirement may be met if interest or collateral insurance deductions are discussed or illustrated in connection with a tax shelter property." (Source: Manulife Tax Retirement & Estate Planning Services, "Leveraged life insurance under personal ownership," April 2026).*

If statutory warnings and carrier guidance are not enough, consider the CRA's explicit response to Question 1 at the 2026 CRA Roundtable (Reference: 2026-1089291C6) regarding their current audit activities:

> *"We continue to seek out, audit and re-assess all arrangements which attempt to utilize insurance products or insurance-like products to gain a tax advantage not envisioned by tax policy and legislation. Within CRA, the High Net Worth Compliance Directorate (HNWCD) develops, implements, and coordinates business intelligence and compliance initiatives to address non-compliance in the High Net Worth population through the Audit Program Division, which includes the Aggressive Tax Planning audit program (ATP), and the Tax Promoter and Advisor Compliance program (TPAC).*
>
> *While the ATP Audit Program addresses aggressive tax planning by taxpayers who participated in such abusive insurance-related tax schemes, the TPAC program addresses non-compliance associated with promoters and advisors who promote or sell aggressive tax schemes. TPAC is accountable for identifying and combating aggressive tax schemes and holding promoters accountable through audit activities."*

Navigating these statutory definitions requires an objective review to mitigate potential risks before an audit occurs.

Addendum: A Final Point on Property Characterization

It is useful to briefly test alternative characterizations of the relevant "property" under subsection 237.1(1) to confirm that changing the framework does not bypass the statutory prescribed-benefit analysis. If the illustration represents that the borrowed funds were invested and the resulting interest is deductible, the income-producing investment is independently identifiable as the property to which the represented deduction relates.

Alternatively, if it is contended that the life insurance policy is the relevant property, the same prescribed-benefit analysis applies. If the interest deduction is found to be in respect of that policy, the same analysis can yield the same outcome: the prescribed benefit reduces the net cost to zero. If, however, it is argued that the deduction is not in respect of the policy, the inquiry does not end. That position instead identifies the investment as a separate property to which the represented deduction relates, requiring the subsection 237.1(1) calculation to be considered in respect of that property.

Finally, if there is an attempt to characterize the relevant property as including both the policy and the investment in order to increase the aggregate cost against which the represented deductions are measured, the statutory analysis must still account for the limited-recourse financing as a potential prescribed benefit in respect of the relevant property. The borrowing cannot simply be disregarded because the arrangement is characterized more broadly.

The essential point is that the same $100,000 borrowing cannot simultaneously be relied upon to explain why the interest is represented as deductible and then ignored when determining the prescribed-benefit component of the net-cost calculation applicable to the property to which that financing is connected. The precise result depends on the statutory characterization of the property and the "in respect of" relationship, but changing that characterization does not, by itself, eliminate the prescribed-benefit inquiry.

For an IFA illustration representing a $100,000 loan, the full $100,000 of loan proceeds being invested in an income-producing investment, and 100% of the interest on that loan being represented as deductible, the most direct analysis is to test the investment itself. If the borrowing is a limited-recourse amount and is a prescribed benefit in respect of that investment, the investment's $100,000 cost is reduced by the $100,000 prescribed benefit, producing a net cost of zero. Any represented deduction greater than zero would then satisfy the numerical test in subsection 237.1(1).

That result cannot be avoided merely by aggregating the costs. Whether the property is characterized as the investment, the policy, or an integrated arrangement, you cannot simply merge an unleveraged asset with a leveraged one to artificially inflate the tax-shelter denominator while disregarding the prescribed benefit.

Sample Illustration Assumptions and Mechanics

The financial illustration provided below relies on a specific set of actuarial, financial, and tax assumptions. For the mathematical tax-shelter analysis to apply as described in this memorandum, the arrangement must be executed precisely as illustrated below.

Client and Policy Parameters

- **Insured:** Male, standard non-smoker, age 59 at issue (attaining age 60 in policy Year 1).
- **Face Value**: $1,308,000 + annual Paid Up Additions
- **Ownership:** Canadian-Controlled Private Corporation (CCPC).
- **Dividend Scale:** Assumes the current dividend scale minus 1% (5.35%)
- **Funding Schedule:** Annual deposits of $100,000 payable for 10 years (Years 1 to 10), after which no further out-of-pocket premiums are required.

Financing and Investment Structure

- **Loan Advance Schedule:** The annual loan exactly matches the premium deposit ($100,000 per year) for Years 1 - 10, resulting in a $0 net cash outlay for the insurance.
- **Loan Interest Rate:** An interest rate of 5.00% applied to the outstanding loan balance.
- **Use of Funds:** It is assumed that 100% of the borrowed funds are immediately deployed into a qualifying, income-producing investment (Variable A) to satisfy the statutory requirements for interest deductibility.

Tax and Deductibility Assumptions

- **Corporate Tax Rate:** 50.17%, reflecting the typical marginal tax rate on passive aggregate investment income for a CCPC.
- **Interest Deductibility:** Assumes the 5.00% annual interest charge is 100% tax-deductible under **paragraph 20(1)(c)** of the *Income Tax Act*, based on the represented investment of the loan proceeds.
- **Collateral Insurance Deduction:** Assumes a deduction under **paragraph 20(1)(e.2)** for the cost of the life insurance policy assigned as collateral for the loan. As required by the Act, this deduction (shown as "Tax Deductible Premium") is calculated as the lesser of the premiums payable and the Net Cost of Pure Insurance (NCPI), prorated by the ratio of the outstanding loan to the total death benefit.

Characteristics of an Immediate Financed Arrangement (IFA) Life Insurance Plan

Income Tax Rate: 50.17%

Loan Interest Rate: 5.00%

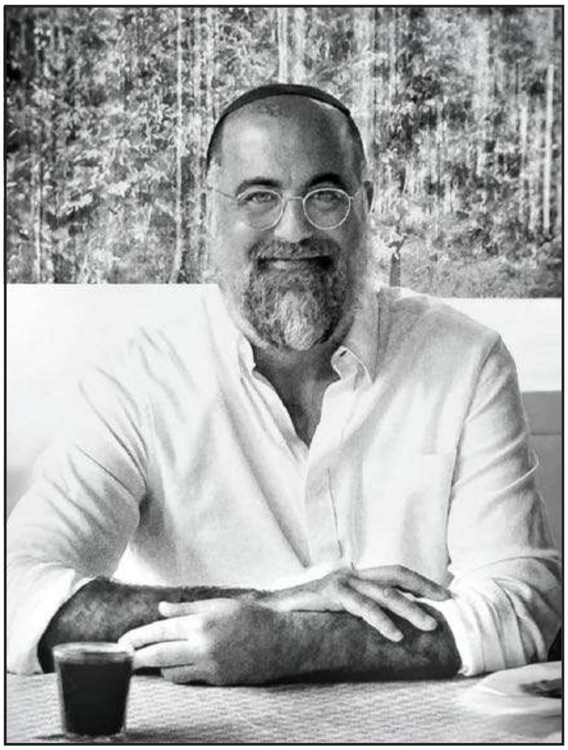
Deposits as Scheduled

Dividend Scale Rate 5.35% (For Information Purposes Only)

		Policy Information			Loan Details			Annual Deductions				Benefits
		#1	#2	#3	#4	#5	#6	#8	#9	#10	#11	#12
		Deposit	Cash Value	Death Benefit	Annual Loan Amount	Cumulative Loan Amount	Loan Security Collateral (#5 - #2)	Tax Deductible Interest	Tax Deductible Premium	Total Annual Tax Deductions (#8 + #9)	Total Annual Tax Savings (#10xTx%)	Net Death Benefit (#3 - #5)
1	**60**	**$100,000**	**$61,091**	**$1,446,039**	**$100,000**	**$100,000**	**$38,909**	**$5,000**	**$175**	**$5,175**	**$2,596**	**1,346,039**
2	61	100,000	127,089	1,586,368	100,000	200,000	72,911	10,000	486	10,486	5,261	1,386,368
3	62	100,000	197,740	1,728,112	100,000	300,000	102,260	15,000	896	15,896	7,975	1,428,112
4	63	100,000	272,084	1,868,904	100,000	400,000	127,916	20,000	1,417	21,417	10,745	1,468,904
5	**64**	**100,000**	**349,913**	**2,008,261**	**100,000**	**500,000**	**150,087**	**25,000**	**2,060**	**27,060**	**13,576**	**1,508,261**
6	65	100,000	447,235	2,146,651	100,000	600,000	152,765	30,000	2,845	32,845	16,478	1,546,651
7	66	100,000	554,921	2,284,685	100,000	700,000	145,079	35,000	3,790	38,790	19,461	1,584,685
8	67	100,000	673,270	2,422,740	100,000	800,000	126,730	40,000	4,915	44,915	22,534	1,622,740
9	68	100,000	802,556	2,561,174	100,000	900,000	97,444	45,000	6,243	51,243	25,709	1,661,174
10	**69**	**100,000**	**943,038**	**2,700,334**	**100,000**	**1,000,000**	**56,962**	**50,000**	**7,789**	**57,789**	**28,993**	**1,700,334**
11	70	0	995,100	2,666,002	0	1,000,000	4,900	50,000	8,874	58,874	29,537	1,666,002
12	71	0	1,054,681	2,634,855	0	1,000,000	0	50,000	10,053	60,053	30,128	1,634,855
13	72	0	1,121,971	2,606,979	0	1,000,000	0	50,000	11,348	61,348	30,778	1,606,979
14	73	0	1,197,165	2,582,453	0	1,000,000	0	50,000	12,739	62,739	31,476	1,582,453
15	**74**	**0**	**1,280,453**	**2,561,357**	**0**	**1,000,000**	**0**	**50,000**	**14,229**	**64,229**	**32,224**	**1,561,357**
16	75	0	1,323,698	2,543,051	0	1,000,000	0	50,000	15,829	65,829	33,027	1,543,051
17	76	0	1,368,098	2,526,713	0	1,000,000	0	50,000	16,133	66,133	33,179	1,526,713
18	77	0	1,414,037	2,512,257	0	1,000,000	0	50,000	16,226	66,226	33,225	1,512,257
19	78	0	1,461,654	2,499,626	0	1,000,000	0	50,000	16,308	66,308	33,266	1,499,626
20	**79**	**0**	**1,511,107**	**2,488,774**	**0**	**1,000,000**	**0**	**50,000**	**16,379**	**66,379**	**33,302**	**1,488,774**
21	80	0	1,562,582	2,479,661	0	1,000,000	0	50,000	16,439	66,439	33,332	1,479,661
22	81	0	1,616,301	2,472,255	0	1,000,000	0	50,000	16,488	66,488	33,357	1,472,255
23	82	0	1,672,174	2,466,528	0	1,000,000	0	50,000	16,526	66,526	33,376	1,466,528
24	83	0	1,729,676	2,462,467	0	1,000,000	0	50,000	16,554	66,554	33,390	1,462,467
25	**84**	**0**	**1,788,435**	**2,460,038**	**0**	**1,000,000**	**0**	**50,000**	**16,570**	**66,570**	**33,398**	**1,460,038**
26	85	0	1,848,331	2,459,189	0	1,000,000	0	50,000	16,576	66,576	33,401	1,459,189
27	86	0	1,909,255	2,459,866	0	1,000,000	0	50,000	16,571	66,571	33,399	1,459,866
28	87	0	1,971,085	2,462,024	0	1,000,000	0	50,000	16,557	66,557	33,391	1,462,024
29	88	0	2,033,645	2,465,619	0	1,000,000	0	50,000	16,532	66,532	33,379	1,465,619
30	**89**	**0**	**2,096,731**	**2,470,612**	**0**	**1,000,000**	**0**	**50,000**	**16,499**	**66,499**	**33,363**	**1,470,612**
31	90	0	2,159,535	2,476,217	0	1,000,000	0	50,000	16,462	66,462	33,344	1,476,217
32	91	0	2,229,555	2,530,229	0	1,000,000	0	50,000	0	50,000	25,085	1,530,229
33	92	0	2,298,778	2,584,179	0	1,000,000	0	50,000	0	50,000	25,085	1,584,179
34	93	0	2,368,072	2,638,095	0	1,000,000	0	50,000	0	50,000	25,085	1,638,095
35	**94**	**0**	**2,438,237**	**2,691,999**	**0**	**1,000,000**	**0**	**50,000**	**0**	**50,000**	**25,085**	**1,691,999**
36	95	0	2,509,972	2,745,912	0	1,000,000	0	50,000	0	50,000	25,085	1,745,912
37	96	0	2,584,750	2,799,844	0	1,000,000	0	50,000	0	50,000	25,085	1,799,844
38	97	0	2,665,320	2,853,789	0	1,000,000	0	50,000	0	50,000	25,085	1,853,789
39	98	0	2,756,593	2,907,715	0	1,000,000	0	50,000	0	50,000	25,085	1,907,715
40	**99**	**0**	**2,867,532**	**2,961,547**	**0**	**1,000,000**	**0**	**50,000**	**0**	**50,000**	**25,085**	**1,961,547**
41	100	0	3,015,145	3,015,145	0	1,000,000	0	50,000	0	50,000	25,085	2,015,145

1,000,000

Armstrong
Financial Services



David E. Kakon B.Sc. (Math Hons.)
Financial Security Advisor
David@ArmstrongLife.com

ARMSTRONG FINANCIAL SERVICES INC.
Firm in the insurance of persons
SERVICES FINANCIERS ARMSTRONG INC.
Cabinet en assurance de personnes
http://ArmstrongLife.com
Tel. (514) 574-0233
Fax. (514) 447-1804

David Kakon, founder and mathematician at Armstrong Financial Services, holds an Honours B.Sc. in Pure & Applied Mathematics from Concordia University, graduating with distinction. With a strong foundation in mathematics, statistics, actuarial science, and computer science, David demystifies complex life insurance illustrations for his clients. His client-centric approach ensures active involvement in insurance planning, making sophisticated financial concepts clear and actionable.

This article, including any mathematical examples, case studies, and interpretations of the Income Tax Act, is provided for educational and informational purposes only and represents the personal opinion of the author. It does not constitute legal, tax, accounting, or financial advice. Applying tax shelter definitions, the General Anti-Avoidance Rule (GAAR), and Canada Revenue Agency (CRA) enforcement policies to Immediate Financing Arrangements (IFAs) is highly complex and depends heavily on the specific facts, documentation, and structure of each case. Tax laws, regulations, and CRA administrative positions are dynamic and subject to change, potentially retroactively. Readers, including professional advisors, should not act or rely upon any information contained herein without first seeking independent, qualified tax and legal counsel tailored to their specific circumstances. The author assumes no liability for any errors or omissions, nor for any assessments, penalties, or financial damages arising from actions taken or not taken in reliance on the contents of this article. Reviewing this article does not establish an advisor-client relationship, nor is any offer to review policies intended to solicit or infringe upon any existing relationships.